humentum

Advancing operational excellence for social good

2 CFR 200

Procurement standards

Reporting

1

Procurement Standards

humentum

2

2

General Procurement Standards

200.318 a – c

Recipients must:

- Use their own procurement procedures
- Maintain oversight to ensure vendors comply with terms/conditions of procurement contract
- Have written standards of conduct for conflicts of interest and performance of staff responsible for selection, award, administration of contracts

humentum

3

3

Conflict of Interest, Conduct

200.318.c

Conflict of interest procedures must address:

- Employees, officers, agents cannot participate in the selection, award, or administration of a contract if they have a conflict of interest
- Staff cannot solicit gifts or other rewards. Organizations can set standards for items of nominal value
- Actions for non-compliance
- Organizational conflicts of interest must also be addressed in the procedures

humentum

4

4

Reasonableness of Procurement

200.318.d

Recipients must:

- Avoid purchase of unnecessary or duplicative items
- Conduct analysis of lease vs. procurement, if appropriate
- Conduct any other analysis to determine most economical procurement

5

5

Procurement Awards

200.318 h – i

Recipients must:

- Award contracts only to responsible vendors capable of successfully performing
- Maintain records of the procurement including:
  - ✓ Rationale for method of procurement
  - ✓ Selection of contract type
  - ✓ Contractor selection or rejection
  - ✓ Basis for contract type

6

6

Competition Standards

7

7

Question 5 Competition

What are the minimum number of bids that USAID requires for a procurement to be considered competitive? Issues to consider in answer:

- Competitive practices
- Organization's standards
- Audit requirements

Reference: 2 CFR 200.319(a) Competition

8

8

Answer — Competition

USAID requires full and open competitive procurement. Your organization determines what the competitive process will be including the number of bids.

Reference: 2 CFR 200.319(a) Competition

9

9

Competition

200.319.a

All procurement transactions must be conducted in a manner that provides full and open competition

10

10

Competition

200.319.b

Restrictive procurement practices to avoid:

- Unreasonable requirements for companies to qualify
- Unnecessary experience or excessive bonding
- Non-competitive pricing practices
- Non-competitive retainer contracts
- Organizational conflicts of interests
- Specifying brand name instead of allowing an "equal" product (brand names can be used to clarify specifications)

11

11

Procurement Procedures

200.319 d – e

Recipients must have written procurement procedures that include:

- Process for establishing clear and accurate specifications
- Identify all requirements vendors must fulfill and other factors used in bid evaluations
- Pre-qualified lists must be current and include enough vendors to ensure full and open competition
- Process for conducting procurement transactions

12

12

Methods of Procurement

13

13

Methods of Procurement

200.320

- 3 categories of procurement methods
  - Informal
  - Formal
  - Noncompetitive

14

14

Informal Procurement Methods

200.320.a

- **Micro-purchase**: procurement transaction less than $10,000*.
- Does not require competitive process if the price is considered reasonable
- Organization can set a lower threshold

*Based on Federal Acquisition Regulation (FAR) definition

15

15

Informal Procurement Methods

200.320.a

- **Small purchase**: procurement transaction above micro-purchase and below the Simplified Acquisition Threshold of $250,000*.
- Price quotations must be obtained from an adequate number of qualified sources
- Organization can set a lower threshold

*Based on Federal Acquisition Regulation (FAR) definition

16

16

Informal Procurement Methods

200.320.a

Procurement method	Procurement threshold	Competition requirements	Contractor selection
Micro-purchase	Up to $10,000	No competition	Reasonable price
Small purchase procedures	$10,000 - $250,000	Informal competition	Your criteria

humentum

17

17

Formal Procurement Methods

200.320.b

Sealed bids:

- Used for procurements above $250,000 or organization's lower threshold
- Request for bids is advertised publicly
- Fixed price contract awarded to the successful bidder that met the selection criteria
- Contractor selected on basis of **lowest price**

humentum

18

18

Formal Procurement Methods

200.320.b

Proposals:

- Used for procurements above $250,000 or organization's lower threshold
- Fixed price or cost reimbursement contract can be awarded
- Use when sealed bid is not appropriate
- Proposals solicited from an adequate number of offerors

humentum

19

19

Formal Procurement Methods

200.320.b

Procurement method	Procurement threshold	Competition requirements	Contractor selection
Sealed bids	Above $250,000	Public advertising	Lowest price
Proposals	Above $250,000	Public advertising	Your criteria

humentum

20

20

Noncompetitive method

200.320.c

Noncompetitive procurement: Can only be used when one or more of the following apply:

- Below the micro-purchase threshold
- Item is available from only one source
- Need or emergency situation will not allow for the delay for a competitive process to be conducted
- USAID authorizes a non-competitive process in response to a written request from the recipient
- Competition is determined to be inadequate after a competitive process

humentum

21

21

Noncompetitive procurement

200.320.c

Procurement method	Procurement threshold	Competition requirements	Contractor selection
Noncompetitive procurement	No limit	No competition	Justification for no competition

humentum

22

22

Procurement methods

Procurement method	Procurement threshold	Competition requirements	Contractor selection
Micro-purchases	Up to $10,000	No competition	Reasonable price
Small purchase procedures	$10,000-$250,000	Informal competition	Your criteria
Sealed bids	Above $250,000	Public advertising	Lowest price
Proposals	Above $250,000	Public advertising	Your criteria
Noncompetitive procurement	No limit	No competition	Justification for no competition

humentum

23

23

Contract Provisions

humentum

24

24

Contract Provisions

200.327

Procurement contracts must include all requirements of federal regulations including (**per Appendix II**):

- Contracts more than $250,000 must address administrative, contractual, or legal remedies for breach of contract terms
- Contracts more than $10,000 must address termination for cause
- Actions to address non-performance by the vendors

25

25

Restrictions on telecommunications and surveillance services and equipment

26

26

Telecommunications and surveillance

200.216

- New requirement that applies to new awards issued on or after August 13, 2020
- Addresses national security concerns about telecommunications and surveillance equipment and services provided by specific companies
- Telecommunications includes mobile phones, land lines, and internet

27

27

Telecommunications and surveillance

200.216

- Cannot use US government funds for:
  - Telecommunications equipment, services or systems produced by Huawei Technologies or ZTE or their subsidiaries or affiliates
  - Video surveillance and telecommunications equipment produced by Hytera Communications, Hangzhou Hikvision Digital Technology, or Dahua Technology, or their subsidiaries or affiliates

28

28

Telecommunications and surveillance

200.216

- Federal agencies are determining how to implement the requirements for their awards
  - USAID and State Department waivers for some requirements through September 30, 2022
- Each organization should determine how it will be affected by this requirement under new awards
  - Review waivers and guidance from federal agencies
  - Develop procedures for the future purchase of telecommunications and surveillance equipment and services

humentum

29

29

Key Points – Procurement Standards

- Your organization determines the competition requirements procurement standards but must meet USAID's requirements
- Written procedures are essential for managing procurement and inventory
- The regulations require that organizations must have their own procurement procedures that are subject to review by USAID

humentum

30

30

Financial Reporting

humentum

31

31

Question 6 Financial reporting

How often must you submit financial reports to USAID?

Please provide the source for your response.

Reference: 2 CFR 200.328

humentum

32

32

Answer — Financial reporting

2 CFR 200.328 specifies no less than annually and no more than quarterly. Award will specify the frequency. More frequent reporting may be justified by unusual circumstances.

Reference: 2 CFR 200.328

33

33

Financial Reporting

200.328

- Award determines the frequency of reporting
- Normally headquarters prepares financial reports
- Standard Form 425 is the current form for financial reports

34

34

Financial Reporting

200.328

- Pipeline analysis:
  - ✓Not required by the regulations
  - ✓May be required in the award document or requested by Agreement Officer Representative
  - ✓Good business practice

35

35

Monitoring and Program Reports

36

36

Monitoring and Reporting Program Performance

200.329

- Award terms and conditions outline the reporting frequency.
  - ✓No less than annually/no more than quarterly except in unusual circumstances
  - ✓Annual report and final report: due within 90 days
- Quarterly and semi-annual reports
  - ✓Due within 30 days

37

37

Monitoring and Reporting Program Performance

200.329

- Report should contain brief programmatic information
  - ✓Goals and objectives vs. accomplishments
  - ✓Explanations of why goals were not met
  - ✓Quantitative data
  - ✓Explanation of cost overruns
- Notify USAID of significant issues that impact project
- USAID may make site visits, as needed

38

38

Key Points – Monitoring and Reporting Program Performance

200.329

- Recipient is responsible for managing and monitoring each project, program, function, activity
- Methods, frequency, and who does monitoring is decided by the organization
- Check your award document for the frequency and dates for reporting and make sure they are clear as this can be a non-compliance issue

39

39

See you at the next webinar

40

40